



Initial Network Tariff Pricing Proposal

**Period 1
1 January 2008 – 30 June 2008**

November 2007

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Definitions

“A” or **“Amp”** means ampere;

“AARR” means the aggregate annual revenue requirement determined in accordance with Clause 4 of the 2007 Determination;

“ABC” means aerial bundled cable;

“AER” means the Australian Energy Regulator;

“Aurora” means Aurora Energy Pty Ltd (ABN 85 082 464 622);

“charging parameters” of a Network Tariff means the constituent elements of the Network Tariff;

“Consumer Price Index” or **“CPI”** means the Consumer Price Index: Average All Capital Cities published by the Australian Statistician under the Census and Statistics Act 1905 of the Commonwealth;

“distribution connected customer” means a **distribution customer** other than an **electricity retailer**, where **distribution customer** and **electricity retailer** have the same meaning as in the *TEC*;

“distribution network tariff” means the schedule of fees (including the rate or rates) Aurora uses to calculate the amount it charges customers, or a class of customers, to recover its AARR, as amended from time to time;

“DORC” means depreciated optimised replacement cost;

“duration of the Determination” means the period from 1 January 2008 to 30 June 2012.

“ESI Act” means the *Electricity Supply Industry Act 1995*;

“Final Pricing Investigation Report” means the *Investigation of Prices for Electricity Distribution Services and Retail Tariffs on Mainland Tasmania, Final Report and Proposed Maximum Prices* issued in September 2007;

“Guideline” means the *Approval of Network Tariffs in accordance with the 2007 Determination Guideline* issued by the Regulator in November 2007;

“HV” means high voltage;

“kVA” means kilovolt amp;

“kW” means kilowatt;

“kWh” means kilowatt hour;

“LV” means low voltage;

“National Electricity Law” or **“NEL”** has the same meaning as in the *ESI Act*;

“National Electricity Market” or **“NEM”** has the same meaning as in the *ESI Act*;

“National Electricity Rules” or **“NER”** has the same meaning as in the *ESI Act*;

“NEMMCO” has the same meaning as in the *ESI Act*;

“NEM related costs” means those costs incurred by Aurora in providing the declared services related to electricity market reform as approved by the Regulator under Clause 4 of the 2007 Determination;

“Network Tariff” means the schedule of fees (including the rate or rates) Aurora uses to calculate the amount it charges customers, or a class of customers, for network services, and for network services and metering services associated with a Type 5, 6 or 7 installation, as amended from time to time;

“ORC” means optimised replacement cost;

“period 1” means the period commencing 1 January 2008 and ending on 30 June 2008;

“period 2” means the period commencing 1 July 2008 and ending on 30 June 2009;

“period 3” means the period commencing 1 July 2009 and ending on 30 June 2010;

“period 4” means the period commencing 1 July 2010 and ending on 30 June 2011;

“period 5” means the period commencing 1 July 2011 and ending on 30 June 2012;

“Price Control Regulations” mean the *Electricity Supply Industry (Price Control) Regulations 2003*;

“Regulator” has the same meaning as in the *ESI Act*;

“TEC” means the *Tasmanian Electricity Code* (as amended from time to time), published by the Regulator under the *ESI Act*;

“Transend” means Transend Networks Pty Ltd (ABN 57 082 586 892) or its successors;

“transmission charges” means those charges attributable to distribution connected customers imposed by Transend for the provision of transmission services in accordance with the *NER*;

“typical customers” means a set of customers derived using the methodology described in the *Typical Electricity Customers Information Paper* issued by the Office of the Tasmanian Energy Regulator in March 2006;

“2007 Determination” means the *Electricity Supply Industry Pricing Policies Declared Electrical Services Pricing Determination* issued by the Regulator in accordance with the *Price Control Regulations* in October 2007.

1 Introduction

The purpose of this submission is to demonstrate that Aurora Energy has fulfilled the obligations imposed by the 2007 Determination and the Guideline. This includes submitting to the Regulator:

1. an Initial Network Tariff Strategy for period 1, and
2. a Network Tariff Pricing Proposal (the 'Initial Network Tariff Pricing Proposal') for period 1.

The Initial Network Tariff Pricing Proposal is outlined within this submission; it addresses the following requirements of the Guideline:

1. set out the proposed Network Tariffs that are to apply for the relevant period;
2. set out, for each proposed Network Tariff, the terms and conditions and the charging parameters and the elements of service to which each charging parameter relates;
3. detail the bona fide forecast installation numbers and loads and the basis of that forecast for each proposed Network Tariff used in developing the Network Tariff Pricing Proposal;
4. set out, for each proposed Network Tariff, the expected revenue for that Network Tariff for the relevant regulatory period and also for the current regulatory period;
5. detail any proposed amendments, variations or adjustments to the Network Tariff proposed, the justification for the proposed amendments, variations or adjustments and whether these amendments, variations or adjustments are consistent with the Network Tariff Strategy;
6. provide details of adjustment variables, including CPI, pass-through and other adjustments permissible under the 2007 Determination and transmission charges attributable to distribution connected customers for the period and an explanation of how each Network Tariff will be affected by the impact of the adjustment or adjustments;
7. set out the nature of any proposed variation or adjustment to the Network Tariff that could occur during the subsequent periods and the basis on which it could occur;
8. demonstrate compliance with the 2007 Determination, including demonstrating that the expected revenue from the distribution network tariffs does not exceed the AARR for the specified period, these Guidelines and the Network Tariff Strategy;

9. describe the nature and extent of and proposed changes from the previous period and demonstrate that the changes comply with these Guidelines and the 2007 Determination;
10. demonstrate the impact on typical customers; and
11. be accompanied by an internal audit certificate and certified as correct by the Chairman and one other Director of Aurora.

The Initial Network Tariff Strategy for period 1 has been developed in accordance with the 2007 Determination and Guideline. The Initial Network Tariff Strategy for period 1 is contained in a separate paper.

All costs, prices and tariffs contained in this submission are exclusive of GST.

2 Compliance with Guideline

Aurora has developed Network Tariffs in accordance with the requirements set out in Clause 2.3(d) of the Guideline.

2.1 Proposed Network Tariffs

The proposed Network Tariffs for Period 1 are detailed in section 3 of this proposal.

2.2 Proposed Terms and Conditions

The proposed terms and conditions for each Network Tariffs for Period 1 are detailed in Attachment 1 of this proposal.

2.3 Forecast Installation Numbers and Loads

The basis of forecast installation numbers and loads are as provided to the Regulator during the 2007 Pricing Investigation and used in the 2007 Determination.

The forecast installation numbers and loads for each Network Tariff for Period 1 are detailed in section 3 of this proposal.

2.4 Expected Revenue for each Network Tariff

The expected revenue for each Network Tariff for Period 1 is detailed in section 3 of this proposal.

2.5 Proposed Amendments to Network Tariffs

There are no proposed amendments to Network Tariffs as this Pricing Proposal only covers the Network Tariffs for Period 1.

2.6 Adjustment Variables

Details of any adjustment variables that are to apply to the Network Tariffs for Period 1 are included in section 4 of this proposal. Some rebalancing of tariffs was also required and these are detailed in section 5.

2.7 Proposed Variations of Adjustments in Subsequent Periods

Details of any adjustment variables that are to apply to the Network Tariffs for Periods 2 – 5 are included in section 7 of this proposal.

2.8 Compliance

Details of compliance with the 2007 Determination are contained within this proposal.

Details that revenue from tariffs does not exceed the AARR are contained in section 8 of this proposal.

2.9 Proposed Changes from Previous Periods

Aurora has not changed its overall tariff strategy but has however had to rebalance some tariffs to achieve appropriate retail outcomes. This rebalancing is detailed in section 5.

2.10 Impact on Typical Customers

The impact of the proposed Network Tariffs on selected typical customers is detailed in the Initial Network Tariff Strategy. As this proposal only covers Period 1 no additional typical customer analysis has been undertaken to show future impacts on typical customers.

2.11 Internal Audit Certificate and Certification

Aurora has not provided an internal audit certificate or certification from the Chairman and one other Director of Aurora with this proposal.

Aurora's inability to meet the requirements of clause 2.3(d)(11) is the subject of separate correspondence with the Regulator.

3 Network Tariff Pricing Proposal

3.1 General Network

N01	Tariff Charge
DUoS Charge	
Daily Charge	31.976 c/day
First 500kWh per Quarter	6.491 c/kWh
Next 1000kWh per Quarter	6.450 c/kWh
Remaining Consumption	4.987 c/kWh
TUoS Charge	
First 500kWh per Quarter	2.685 c/kWh
Next 1000kWh per Quarter	2.041 c/kWh
Remaining Consumption	2.041 c/kWh
Meter Charge	
Daily Charge	7.110 c/day
Total Charge (NUoS)	
Daily Charge	39.086 c/day
First 500kWh per Quarter	9.176 c/kWh
Next 1000kWh per Quarter	8.491 c/kWh
Remaining Consumption	7.028 c/kWh

Table 1 – General Network Pricing

N01	
Forecast Installation Numbers	
Customer (installation) days in period	35,018,830
Forecast Loads	
First 500kWh per Quarter	145,408,081 kWh
Next 1000kWh per Quarter	153,695,655 kWh
Remaining Consumption	65,067,581 kWh
Expected Revenue	
Daily Charge	\$13,687,746
First 500kWh per Quarter	\$13,342,646
Next 1000kWh per Quarter	\$13,050,298
Remaining Consumption	\$4,572,950
Total	\$44,653,640

Table 2 – General network forecast installation numbers, loads and revenue.

3.2 General Network – Business

N02	Tariff Charge
DUoS Charge	
Daily Charge	31.976 c/day
First 500kWh per Quarter	7.805 c/kWh
Remaining Consumption	3.838 c/kWh
TUoS Charge	
First 500kWh per Quarter	3.006 c/kWh
Remaining Consumption	3.006 c/kWh
Meter Charge	
Daily Charge	10.295 c/day
Total Charge (NUoS)	
Daily Charge	42.271 c/day
First 500kWh per Quarter	10.811 c/kWh
Remaining Consumption	6.844 c/kWh

Table 3 – Commercial Customer Network Pricing

N02	
Forecast Installation Numbers	
Customer (installation) days in period	8,055,185
Forecast Loads	
First 500kWh per Quarter	42,315,811 kWh
Remaining Consumption	392,174,237 kWh
Expected Revenue	
Daily Charge	\$3,405,007
First 500kWh per Quarter	\$4,574,762
Remaining Consumption	\$26,840,405
Total	\$34,820,174

Table 4 – Commercial Customer forecast installation numbers, loads and revenue.

3.3 Controlled Energy Tariff

N06	Tariff Charge
DUoS Charge	
Daily Charge	5.954 c/day
All Energy	0.288 c/kWh
TUoS Charge	
All Energy	0.452 c/kWh
Meter Charge	
Daily Charge	7.252 c/day
Total Charge (NUoS)	
Daily Charge	13.206 c/day
All Energy	0.739 c/kWh

Table 5 – Controlled Energy Network Pricing.

N06	
Forecast Installation Numbers	
Customer (installation) days in period	4,947,940
Forecast Loads	
All Energy	66,000,108 kWh
Expected Revenue	
Daily Charge	\$653,425
All Energy	\$487,741
Total	\$1,141,166

Table 6 – Controlled Energy forecast installation numbers, loads and revenue.

3.4 Uncontrolled Energy Tariff

N05	Tariff Charge
DUoS Charge	
Daily Charge	3.402 c/day
All Energy	1.121 c/kWh
TUoS Charge	
All Energy	1.587 c/kWh
Meter Charge	
Daily Charge	7.059 c/day
Total Charge (NUoS)	
Daily Charge	10.461 c/day
All Energy	2.708 c/kWh

Table 7 – Uncontrolled Energy Network Pricing

N05	
Forecast Installation Numbers	
Customer (installation) days in period	31,863,770
Forecast Loads	
All Energy	326,695,888 kWh
Expected Revenue	
Daily Charge	\$3,333,269
All Energy	\$8,846,924
Total	\$12,180,193

Table 8 – Uncontrolled Energy forecast installation numbers, loads and revenue.

3.5 LV PAYG

N13	Tariff Charge
DUoS Charge	
Daily Charge	30.835 c/day
All Energy	3.258 c/kWh
TUoS Charge	
All Energy	1.872 c/kWh
Total Charge (NUoS)	
Daily Charge	30.835 c/day
All Energy	5.130 c/kWh

Table 9 – APAYG Customer Network Pricing

N13	
Forecast Installation Numbers	
Customer (installation) days in period	7,871,043
Forecast Loads	
All Energy	168,469,879 kWh
Expected Revenue	
Daily Charge	\$2,427,036
All Energy	\$8,642,505
Total	\$11,069,541

Table 10 – APAYG Customer forecast installation numbers, loads and revenue.

3.6 LV Metered Demand (kVA)

N09	Tariff Charge
DUoS Charge	
Daily Charge	315.124 c/day
All Energy Charge	1.170 c/kWh
First 250kVA Demand	20.803 c/kVA/day
Additional Demand	17.315 c/kVA/day
TUoS Charge	
All Energy Charge	0.630 c/kWh
First 250kVA Demand	14.643 c/kVA/day
Additional Demand	14.643 c/kVA/day
Meter Charge	
Daily Charge	13.237 c/day
Total Charge (NUoS)	
Daily Charge	328.36 c/day
All Energy Charge	1.80 c/kWh
First 250kVA Demand	35.446 c/kVA/day
Additional Demand	31.958 c/kVA/day

Table 11 – LV Demand kVA Network Pricing

N09	
Forecast Installation Numbers	
Customer (installation) days in period	66,795
Forecast Loads	
All Energy	176,837,251 kWh
First 250kVA Demand	11,324,248 kVA days
Additional Demand	5,721,178 kVA days
Expected Revenue	
Daily Charge	\$219,328
All Energy	\$3,183,071
First 250kVA Demand	\$4,013,993
Additional Demand	\$1,828,374
Total	\$9,244,766

Table 12 – LV Demand kVA forecast installation numbers, loads and revenue.

3.7 LV Metered Demand (kW)

N03	Tariff Charge
DUoS Charge	
Daily Charge	100.00 c/day
First 250kW demand per month	24.534 c/kW/day
Additional Demand	24.062 c/kW/day
All Energy Charge	1.30 c/kWh
TUoS Charge	
First 250kW demand per month	11.655 c/kW/day
Additional Demand	11.655 c/kW/day
All Energy Charge	0.70 c/kWh
Meter Charge	
Daily Charge	13.237 c/day
Total Charge (NUoS)	
Daily Charge	113.237 c/day
First 250kW demand per month	36.189 c/kW/day
Additional Demand	35.717 c/kW/day
All Energy Charge	2.00 c/kWh

Table 13 – LV Demand kW Network Pricing

N03	
Forecast Installation Numbers	
Customer (installation) days in period	77,380
Forecast Loads	
All Energy	101,275,450 kWh
First 250kW Demand	7,144,234 kW days
Additional Demand	2,961,147 kW days
Expected Revenue	
Daily Charge	\$87,623
All Energy	\$2,025,509
First 250kW Demand	\$2,585,427
Additional Demand	\$1,057,633
Total	\$5,756,192

Table 14 – LV Demand kW forecast installation numbers, loads and revenue.

3.8 HV Metered Demand (kW)

N11	Tariff Charge
DUoS Charge	
Daily Charge	2,155.844 c/day
All Energy Charge	0.184 c/kWh
Demand Charge	16.446 c/kW/day
TUoS Charge	
All Energy Charge	1.156 c/kWh
Monthly Demand Charge	1.535 c/kW/day
Meter Charge	
Daily Charge	57.783 c/day
Total Charge (NUoS)	
Daily Charge	2,213.627 c/day
All Energy Charge	1.340 c/kWh
Monthly Demand Charge	17.981 c/kW/day

Table 15 – HV Demand kW Network Pricing

N11	
Forecast Installation Numbers	
Customer (installation) days in period	4,563
Forecast Loads	
All Energy	43,002,812 kWh
Demand	3,413,954 kW days
Expected Revenue	
Daily Charge	\$101,008
All Energy	\$576,238
Demand	\$613,863
Total	\$1,291,109

Table 16 – HV Demand kW forecast installation numbers, loads and revenue.

3.9 HV Metered Demand (kVA)

N10	Tariff Charge
DUoS Charge	
Daily Charge	2,134.181 c/day
All Energy Charge	0.178 c/kWh
Monthly Demand Charge	16.165 c/kVA/day
TUoS Charge	
All Energy Charge	0.963 c/kWh
Monthly Demand Charge	1.467 c/kVA/day
Meter Charge	
Daily Charge	54.893 c/day
Total Charge (NUoS)	
Daily Charge	2,191.964 c/day
All Energy Charge	1.141 c/kWh
Monthly Demand Charge	17.632 c/kVA/day

Table 17 – HV Demand kVA Network Pricing

N10	
Forecast Installation Numbers	
Customer (installation) days in period	8,395
Forecast Loads	
All Energy	193,988,209 kWh
Demand	14,268,245 kVA days
Expected Revenue	
Daily Charge	\$184,015
All Energy	\$2,213,405
Demand	\$2,515,777
Total	\$4,913,197

Table 18 – HV Demand kVA forecast installation numbers, loads and revenue.

3.10 LV Day/Night (Irrigation)

N08	Tariff Charge
DUoS Charge	
Daily Charge	264.663 c/day
Day Energy Charge	5.871 c/kWh
Night Energy Charge	1.468 c/kWh
TUoS Charge	
Day Energy Charge	2.184 c/kWh
Night Energy Charge	0.546 c/kWh
Meter Charge	
Daily Charge	12.921 c/day
Total Charge (NUoS)	
Daily Charge	277.584 c/day
Day Energy Charge	8.055 c/kWh
Night Energy Charge	2.014 c/kWh

Table 19 – LV Day/Night (Irrigation) ToU Network Pricing

N08	
Forecast Installation Numbers	
Customer (installation) days in period	496,948
Forecast Loads	
Day Energy	19,728,593 kWh
Night Energy	28,237,539 kWh
Expected Revenue	
Daily Charge	\$1,379,448
Day Energy	\$1,589,138
Night Energy	\$568,704
Total	\$3,537,290

Table 20 – LV Day/Night (Irrigation) ToU forecast installation numbers, loads and revenue.

3.11 Small LV Unmetered

N07	Tariff Charge
DUoS Charge	
Daily Charge	29.629 c/day
All Energy Charge	8.557 c/kWh
TUoS Charge	
All Energy Charge	1.870 c/kWh
Total Charge (NUoS)	
Daily Charge	29.629 c/day
All Energy Charge	10.427 c/kWh

Table 21 – Small LV Unmetered Network Pricing

N07	
Forecast Installation Numbers	
Customer (installation) days in period	72,088
Forecast Loads	
All Energy	187,843 kWh
Expected Revenue	
Daily Charge	\$21,359
All Energy	\$19,586
Total	\$40,945

Table 22– Small LV Unmetered forecast installation numbers, loads and revenue.

3.12 Streetlight NuoS

N20	Tariff Charge
DUoS Charge	
Demand Charge	0.062 c/lamp watt/day
TUoS Charge	
Demand Charge	0.025 c/lamp watt/day
Total Charge (NUoS)	
Demand Charge	0.087 c/lamp watt/day

Table 23 – Streetlight NUoS Network Pricing

N20	
Forecast Installation Numbers	
Forecast total lamp wattage	5,199,570 W
Expected Revenue	
Demand charge	\$823,300

Table 24– Streetlight installed load and revenue.

Note: Does not include charges for light fitting.

3.13 Specified Demand Customers

For customers selecting tariff N15 the following rules apply:

They are able to agree a 'Specified Demand' for their electrical installation. Once set this value of demand is charged for the next twelve months, if however the specified demand is exceeded the 'excess charge' is applied as the demand charge for the billing period.

Renegotiation of specified demand is limited to one occurrence each twelve months or as otherwise agreed with Aurora. Aurora requires two months notice for a specified demand reset.

If the transmission nodal charge is more than 50% greater than the transmission charge (TuoS) in the High Voltage metered demand (kVA) [N10] tariff the customer is to be transitioned to the transmission nodal charge at no greater than 150% of the N10 TuoS charge.

HV Customers with Demand in excess of 2MVA

N15	Tariff Charge
DUoS	
Daily Charge	\$15.00 /day
Specified Demand Charge	6.796 c/kVA/day
Excess Demand Charge	20.388 c/kVA/day
Peak Energy Charge	1.081 c/kWh
Shoulder Energy	0.293 c/kWh
Off-Peak Energy	0.037 c/kWh
Connection	
Specified Demand Charge	0.247 c/kVA/day
Excess Demand Charge	0.741 c/kVA/day
Meter Charge (if applicable)	
Daily Charge	57.786 c/day
Transmission Charge	
Demand Charge	As per nodal
Excess Demand Charge	charge in Table 13
Energy Charge	

Table 25– HV Customers with Demand > 2MVA

N15	
Forecast Installation Numbers	
Customer (installation) days in period	182
Forecast Loads	
Specified Demand	32,265 kVA days
Excess Demand	1,076 kVA days
Peak Energy	3,022,895 kWh
Shoulder Energy	3,627,474 kWh
Off-Peak Energy	6,045,790 kWh
DUoS & Connection Expected Revenue	
Daily charge	\$2,730
All Energy	\$45,543
Specified Demand Charge	\$2,272
Excess Demand Charge	\$227
Meter Revenue (if applicable)	
Daily Charge	NA

Table 26– HV Customers with Demand > 2MVA forecast installation numbers, loads and revenue.

3.14 Standard Transmission Charges

There are a number of customers that may have a tariff that has been specifically calculated for that customer, or group of customers, including those customers with demand in excess of 2 MVA. As part of this tariff there may be a pass-through of the transmission charge applicable to the terminal substation connecting that customer.

Transmission Charges

Average nodal connection charges have been based upon demand. Transend's schedule of charges for 2007-08 is reproduced in the following table.

Table 27– Transmission Charges 2007/08.

Connection Site	TNI	Common Service Price (\$/MVA/mth)	TUOS General Charges (\$/MVA/mth)	TUOS Usage Price (\$/MVA/mth)	Monthly Exit Charges (\$/MVA/mth)	Total (\$/MVA/mth)
Avoca	TAV2	1,788.510	903.363	2,115.632	4,523.723	9,331.228
Bridgewater	TBW2	1,491.355	753.254	1,477.659	1,992.994	5,715.263
Burnie	TBU3	1,788.510	903.363	1,393.687	1,419.523	5,505.082
Chapel St	TCS3	1,601.737	809.006	1,386.637	1,720.648	5,518.028
Creek Rd	TCR3	1,749.605	883.691	1,468.962	1,023.383	5,125.640
Derby	TDE2	1,014.466	512.387	5,282.407	4,241.833	11,051.093
Derwent Bridge	TDB2	809.188	408.705	1,844.415	28,852.724	31,915.032
Devonport	TDP2	1,788.510	903.363	1,786.933	1,184.714	5,663.519
Electrona	TEL2	1,617.538	816.987	3,079.802	2,485.355	7,999.683
Emu Bay	TEB2	1,686.417	851.777	1,410.108	2,737.505	6,685.806
George Town	TGT3	1,788.510	903.363	1,409.264	4,641.133	8,742.270
Hadspen	THA3	199.789	100.910	1,286.061	2,121.969	3,708.729
Kermandie	TKE2	1,788.528	903.351	3,002.147	6,816.004	12,510.029
Kingston	TKI2	1,471.818	743.386	1,830.504	1,412.672	5,458.380
Knights Rd	TKR2	1,788.510	903.363	2,341.286	3,010.555	8,043.714
Lindisfarne	TLF2	1,523.494	769.487	1,757.247	1,667.241	5,717.469
Meadowbank	TMB2	1,488.061	751.591	1,079.878	4,846.326	8,165.856
Mowbray	TMY2	137.599	69.498	1,457.536	3,791.727	5,456.360
New Norfolk	TNN2	1,788.510	903.363	1,688.573	2,749.500	7,129.945

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Connection Site	TNI	Common Service Price (\$/MVA/mth)	TUOS General Charges (\$/MVA/mth)	TUOS Usage Price (\$/MVA/mth)	Monthly Exit Charges (\$/MVA/mth)	Total (\$/MVA/mth)
Newton (22kV)	TNT2	1,769.400	893.711	4,477.083	4,560.278	11,700.472
North Hobart	TNH2	1,637.222	826.929	2,218.049	1,054.088	5,736.288
Norwood	TNW2	1,613.304	814.848	1,421.954	729.714	4,579.820
Palmerston	TPM3	1,468.967	741.947	782.198	2,236.811	5,229.922
Port Latta	TPL2	1,170.014	590.951	2,672.470	2,520.969	6,954.404
Queenstown (22kV)	TQT2	1,788.510	903.363	1,737.617	6,958.796	11,388.286
Railton	TRA2	1,788.510	903.363	1,190.400	1,078.748	4,961.021
Risdon (22kV)	TRI2	912.127	460.698	1,636.274	951.297	3,960.395
Rokeby	TRK2	1,387.426	700.762	2,560.889	1,344.370	5,993.446
Rosebery	TRB2	1,788.510	903.363	1,319.379	4,560.696	8,571.948
Savage River	TSR2	1,078.501	544.730	2,251.567	2,307.432	6,182.230
Scottsdale	TSD2	1,788.510	903.363	3,884.895	4,155.444	10,732.212
Smithton	TST2	1,788.510	903.363	3,437.837	2,997.022	9,126.732
Sorell	TSO2	1,642.893	829.794	2,159.448	1,716.945	6,349.080
St Marys	TSM2	1,490.299	752.721	2,635.852	2,601.271	7,480.143
Trevallyn	TTR2	1,785.502	901.844	1,140.161	773.755	4,601.262
Triabunna	TTB2	1,661.126	839.003	2,386.169	4,207.320	9,093.618
Tungatinah	TTU2	1,788.510	903.363	662.509	44,270.794	47,625.175
Ulverstone	TUL2	1,788.510	903.363	1,550.190	1,315.287	5,557.349

Connection Site	TNI	Common Service Price (\$/MVA/mth)	TUOS General Charges (\$/MVA/mth)	TUOS Usage Price (\$/MVA/mth)	Monthly Exit Charges (\$/MVA/mth)	Total (\$/MVA/mth)
Waddamana	TWA2	861.557	435.156	705.670	23,935.744	25,938.127
Wesley Vale	TWV2	1,120.779	566.084	1,617.554	1,182.265	4,486.682
Arthurs Lake	TAL2	1,788.510	903.363	1,532.401	2,833.609	7,057.883
Hobart (Virtual)		1,482.056	748.557	1,745.995	1,226.518	5,203.126
Launceston (Virtual)		1,264.421	638.644	1,272.377	845.082	4,020.524

Virtual transmission nodes have been developed for Hobart and Launceston due to the high level of inter-connectability of the transmission connection sites and the regular need to transfer loads within the distribution network.

Hobart (Virtual) is based on the following connection sites: Chapel St, Creek Rd, Lindisfarne, Nth Hobart, Risdon (22kV) and Rokeby. Launceston (Virtual) is based on the Norwood, Trevallyn and Hadspen connection sites.

Table 28– Transmission Charges 2007/08 for customers with specific loss factors.

Customer	TNI	Common Service Price (\$/MVA/mth)	TUOS General Charges (\$/MVA/mth)	TUOS Usage Price (\$/MVA/mth)	Monthly Exit Charges (\$/MVA/mth)	Total (\$/MVA/mth)
ACH		1,769.400	893.711	1,177.681	1,067.222	4,908.014
Cadbury		1,740.464	879.075	1,461.288	1,018.036	5,098.863
Henty		1,769.400	893.711	4,477.083	4,560.278	11,700.472

Prices include Distribution Loss Factor

4 Adjustment Variables

The only adjustment variable, as allowed and defined in the 2007 Determination, that has been applied to the setting of the revenue to be recovered through Network tariffs is the CPI adjustment factor PIF_y .

The relevant indexation is 157.5 for the quarter ending 30 June 2007, and the base index is 154.3.

5 Tariff Rebalancing

The Network Tariffs derived from the pure cost allocation to customer groups would have given a distorted outcome when applied at a retail tariff level, relative to the Regulator's constraints. To satisfy those constraints, multiple levels of rebalancing between the Network Tariffs have been undertaken, each level addressing specific constraints.

In effect the rebalancing has been:

- a) a rebalance between general business LV tariff and all other tariffs to address the curtilage rebate applied to some retail tariffs;
- b) a rebalance between business and residential tariffs to address the retail price movement constraint; and
- c) a rebalance between energy related business tariffs and demand based tariffs to address adverse price movements in period 1.

6 Fixed and variable charges

Generally fixed charges for all tariffs are within the range of fixed charges applied in other NEM jurisdictions. Although the general Network Tariff N01 is in the upper bounds of the range, this is constrained at the retail tariff level.

7 Proposed variations in subsequent periods

As a result of the Network Tariff rebalancing to satisfy the constraints at a retail tariff level, an extensive amount of work needs to be undertaken to address the variations and price paths for Network Tariffs in subsequent periods. These proposed adjustments are still under development and will be addressed in the submission on Network Tariff Strategy for periods 2 to 5.

8 Compliance with the 2007 Determination

Under the 2007 Determination, proposed Network Tariffs are to be set based on the forecast customer numbers (installations and loads) for all customers connected to the distribution network and are to be set to ensure that the forecast revenue does not exceed the maximum allowable revenue.

The following table sets out the forecast revenue to be recovered through Network tariffs against the maximum allowable revenue.

Revenue Reconciliation	Expected Revenue
Revenue	
Total Revenue from Tariffs N01 to N15	\$128,698,985
Total Revenue from Tariff N20 (streetlight DUoS)	\$823,300
Estimated TUoS pass through to Tariff N15	\$160,800
DUoS Revenue from Individual Tariff Customers	\$534,264
TUoS Revenue from Individual Tariff Customers	\$1,811,367
Total Revenue	\$132,028,716
Less adjustments	
TUoS charge	
Forecast total TUoS charge for period	\$35,020,562
Metering Revenue	
Revenue included in tariffs	\$6,017,991
Total Adjustments	\$41,038,553
Net revenue after revenue adjustments	\$90,990,163
AARR allowance from 2007 Determination Table 1	\$87,929,000
Electrical Safety allowance from 2007 Determination Table 2	\$1,283,000
CPI adjustment to revenue allowance	\$1,850,000
Total revenue allowance (excluding meters)	\$91,062,000

Table 29– Revenue recovery

In accordance with the 2007 Determination, the proposed Network tariffs recover \$71,837 less than the maximum allowable revenue.

9 Terms and Conditions

Terms and condition for Network tariffs are proposed to be as per the attached Network Tariff Application Guide Period 1 2008.

10 Attachments

Attachment 1 - Network Tariff Application Guide Period 1 2008